no choice but to invest your money so that you can beat inflation and taxes, which means that your money should actually grow on investing it.

To find out whether that is happening or not, or to find the rate at which your money is growing vis-a-vis the inflation rate and taxes, there are certain prescribed methods to calculate the returns from your investments.

The most common method that people use to calculate the return on their investment is absolute returns.

Let us take a very simple example to illustrate the concept of absolute returns. Remember that absolute returns are "absolute" by definition. This means that these returns are calculated without taking any time period into account.

As you go through the examples, do not bother about the terms used in the example like NAV or NFO etc. These terms are not important at this stage. You will get a detailed understanding of these terms as you go through the rest of the book. The focus right now is just to understand how the return on investments can be calculated

Formula 1

$$\text{Absolute ROI} = \frac{(\text{Current Market Value} - \text{Cost of Investment})}{(\text{Cost of Investment})}$$

Example 1

I invested in equity New Fund Offer (NFO) two years back at ₹10 per unit (assuming no entry load). Today the Net Asset Value (NAV) quoted for that mutual fund stands at ₹15 per unit. What is the return on my invested amount?

Solution: Calculating Absolute ROI